

AKBA pitch deck

PITCH — AKBA — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: REJECT — do not buy at any price while CMS’s published \$0.9437-per-treatment payment stands against the ~\$61 per treatment Vafseo collects today; revisit only on the event gates below. (Both court benches independently reached REJECT at conviction 9/10.)

What we believe

Akebia Therapeutics (~\$0.84/share, 2.6% above its 52-week low, down 75% from its high) faces a published, date-certain collapse in how Medicare pays for its lead drug. Vafseo, an oral anemia drug for dialysis patients, currently earns roughly \$61 per treatment under a temporary Medicare add-on payment (called TDAPA) that expires December 31, 2026. On June 26, 2026, CMS published its proposed rule for 2027, and the replacement payment is exact and tiny: **\$0.9437 per treatment** — paid on *every* dialysis claim whether Vafseo is used or not, meaning a dialysis clinic’s marginal reimbursement for actually dispensing Vafseo drops to approximately **zero** (Federal Register, 91 FR 38784, Table 12, p. 38811: <https://www.govinfo.gov/content/pkg/FR-2026-06-26/pdf/2026-12925.pdf>). Management’s own guidance of “ESA-range pricing” implies roughly an 80% price cut, so even flat 2027 revenue would require 4–5× the patient count in one year, sold into clinics with no financial incentive to use the drug.

The same rule adds a second cliff neither the original pitch nor the first bench modeled: Akebia’s other drug, Auryxia (a phosphate binder), gets folded into the fixed base payment rate at +\$15.96 on January 1, 2027, ending its own add-on and putting it in direct in-bundle competition with generics.

The balance sheet compounds this: \$155.5M cash against a \$29.3M first-half burn looks like two years of runway, but that math is explicitly conditioned on refinancing a \$49.6M senior secured term loan — hard to do cheaply with a sub-\$1 stock.

What the market believes

The market appears to already have this roughly right. The stock fell 24% on August 5 second-quarter results and sits at \$0.844, near its 52-week low of \$0.823 — and, critically, all of that trading happened *after* the June 26 rule publication. The market traded with the \$0.9437 number in hand for six weeks before our pitch was written. The price is consistent with a market pricing in: reimbursement cliff on the lead drug, second cliff on the second drug, and financing risk in a sub-\$1 equity.

Why we might have edge

Stated honestly: **the original pitch’s claimed edge does not exist.** The pitch argued that management had given direction but not magnitude on the 2027 payment change, and that we could reconstruct the post-TDAPA price from public CMS data before the market. CMS published the exact number six weeks before the pitch was written. There is nothing left to reconstruct.

What survives, per the defending bench, is small and bounded:

- **Quarterly updates could raise the add-on.** CMS proposes updating the post-TDAPA amount quarterly using the most recent utilization data; Vafseo’s 2026 spending run-rate (~\$85M+) could lift \$0.9437 toward roughly \$2–3 per treatment. That is still ~5% of today’s realized price — it cannot reopen the case, only soften the floor.
- **A payment channel outside the Medicare bundle math.** Capitated, value-based dialysis operators (the US Renal Care type) internalize the hospitalization benefit seen in the VOICE trial and could pay for Vafseo on its merits. Plausible, unquantified, and under 2% penetration today.
- **A precedent cuts both ways.** DefenCath’s post-TDAPA add-on actually *rose* across rule years (\$2.37 → \$5.60), so post-cliff utilization can grow — the prosecuting bench’s claim that the Korsuva precedent proves utilization always collapses was overstated.

Why it might be priced in

It is not merely “priced in” — the information asymmetry the pitch depended on expired before the pitch existed. The June 26 rule predates the August 5 selloff; the number cross-foots with the company’s own financials ($\$0.9437 \div 0.65 \text{ risk-sharing factor} \times \sim 40\text{M annual treatments} \approx \$58\text{M} \approx \text{actual 2025 Vafseo revenue}$), so there is no ambiguity for the market to be confused about. The residual bull arguments above are worth cents against a ~\$60 payment gap. Both benches also note the stock has **not** overshot to an obviously irrational level: financing-spiral risk (refinancing a secured loan with a sub-\$1 stock, plus a fresh employee stock plan registration adding dilution) means the downside tail is genuinely open, not bounded.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Post-2026 Vafseo payment is unpublished and reconstructible ahead of the market (the pitch’s core)	Both benches independently read the Federal Register PDF, pp. 38807–38814	Published June 26, 2026: \$0.9437/treatment, exact, all four 2027 quarters; methodology (65% of trailing spend spread over all treatments, paid on every claim) confirmed verbatim; cross-foots with issuer revenue	REFUTED — our pitch was built on information that was six weeks stale.
Flat 2027 Vafseo revenue is a live scenario	Base rate (\$299.55, confirmed p. 38808) + management’s “ESA-range pricing”	Requires ~4–5× patients in one year at ~–80% price into clinics earning \$0 marginal payment	REFUTED
Realized price already eroding –8.7% quarter-over-quarter	Both benches recomputed the pitch’s own averaging	Artifact of fast intra-quarter patient adds (new patients half-weighted in the denominator but contribute part-quarter	REFUTED — our own pitch’s math error.

Claim	How checked	Found	Confirmed?
		revenue); the sign is mechanical, not a measured price cut	
Korsuva precedent: post-TDAPA payment went to \$0 and usage collapsed to <1% (prosecuting bench)	Defending bench re-read the primary text	The “\$0” is a mechanical calendar expiry, not a utilization verdict; the <1% figure rests on one trade-press article; DefenCath’s rising add-on is a counterexample the prosecution omitted	PARTIAL — prosecuting bench overstated; direction survives, “template” framing does not.
Current share price \$0.865 (prosecuting bench, who accused the pitch of staleness)	Defending bench checked the shared evidence pack	Pack says \$0.844; the prosecution misquoted it and the accusation was backwards	NO — prosecuting bench data error.
~Two years of cash runway	Evidence pack cash-flow data + Q2 10-Q as cited	\$155.5M cash vs \$29.3M half-year burn, but explicitly conditioned on refinancing the \$49.6M secured loan; the warrant/at-the-market share program detail could not be read — SEC’s website blocked all three benches this cycle	PARTIAL — refinancing-conditioned; equity-note detail is an open coverage gap.
Insider sale filed one day before the positive VOICE trial news (June 29 vs June 30)	Evidence pack filing inventory	Real, but the June 22 insider cluster matches a routine annual-meeting grant pattern, and the stock fell through the good news anyway	UNRESOLVED — flagged, low information value.
Auryxia faces its own January 2027 cliff	Federal Register pp. 38808–38809, 38814	Phosphate binders folded into the base rate at +\$15.96; branded Auryxia then competes in-bundle against generics	CONFIRMED (adverse) — new finding; the original pitch missed it entirely.
Prosecuting bench procedure	Defending bench audit	Consulted two detectors not in the assigned atlas and skipped two required ones (both skipped ones came back clean when run)	Bench process error, non-material to verdict.

PROPOSED ENTRY BANDS

The courts say no entry — there is no price at which this is a buy while the published reimbursement math stands. The gap between \$0.94–\$3 (published/plausible payment) and ~\$61 (current realized price) cannot be closed by any volume path either bench could construct, and the downside tail (financing spiral) is unbounded. Sizing: **0% of book.**

Reopen conditions (from the benches’ own findings), any one of which reopens a full re-court:

1. **Final rule restructures the methodology** for this drug class — the CY2027 ESRD final rule is expected late October / early November 2026, and the comment docket shows documented stakeholder pressure on exactly this mechanism (p. 38811). This is the principal reopen gate.
2. **A signed volume contract with DaVita or Fresenius** committing 2027 Vafseo volumes at a disclosed net price of roughly **\$25/treatment or better** — that would prove a payment channel outside the bundle math.

3. **TDAPA-extension legislation reaching committee markup** in Congress.
4. **A verified balance sheet showing cash through 2028 without the loan refinancing** (requires finally reading the blocked 10-Q equity note).

Informational price gates (not entries): - **Below \$0.50:** treat as confirmation of the financing-spiral scenario; check for a Nasdaq minimum-price deficiency notice and refinancing terms. - **Above \$1.56 (the 26-week high) with none of the four reopen events having occurred:** the market knows something we don't — mandatory review of what we missed.

Catalyst dates: CY2027 ESRD final rule ~late Oct/early Nov 2026 (date not fixed); Q3 earnings 2026-11-09 (from a data feed, **not company-confirmed**); January 1, 2027 — Vafseo's per-use Medicare payment ends (date-certain under the existing TDAPA term) and Auryxia's bundling takes effect (proposed, pending the final rule).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 0.5 (deck-provisional: financing-spiral confirmation — check Nasdaq deficiency notice and refinancing terms, not an entry)
- filing watch: 8-K until 2027-02-06 (deck-provisional: loan refinancing terms, dialysis-chain volume contract, or Nasdaq minimum-price notice)
- dated pack AKBA|2026-10-31: AKBA: CY2027 ESRD PPS final rule expected late Oct/early Nov — principal reopen gate (methodology restructuring) (date confirmed=False)
- dated pack AKBA|2026-11-09: AKBA: Q3 2026 earnings — data-feed derived, no company PR names it (date confirmed=False)
- dated pack AKBA|2027-01-01: AKBA: Vafseo per-use Medicare payment ends (TDAPA expiry, date-certain) (date confirmed=True)

What remains unverified

- **The warrant and at-the-market program overhang** — SEC's website returned errors to all three benches this cycle; the 10-Q equity note has not been read. This is the largest open item and directly affects the dilution/runway picture.
- **The ESA cost weight (3.0%)** used in the "ESA-range pricing" math — not load-bearing (the conclusion survives without it), but unconfirmed on the pages read.
- **The Korsuva <1% utilization figure** — rests on a single trade-press article, not primary claims data.
- **Intent behind the June 29 insider sale** — possibly a pre-set trading plan; never verified.
- **The November 9 earnings date** — derived from a data feed; no company press release names it.

- **The size of the value-based/capitated payment channel** — the defending bench's <2% penetration figure is an estimate.
- **Live brokerage quote** — the brokerage connection was permission-blocked for both benches this session; all prices anchor to the evidence pack (\$0.844).

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